



With R&D costs absorbed into past balance sheets, future revenues from Zaynich will flow at substantially higher margins

WHY ANTIBIOTICS ARE A TOUGH BUSINESS

New anti-biotics are deliberately reserved for the sickest patients

Treatment duration is short compared with chronic therapies

Hospital formulary approvals can take time

Reimbursement remains challenging in several markets

Several innovative antibiotic companies failed despite obtaining regulatory approvals

crobial Resistance Benchmark, only three large research-based pharmaceutical companies are actively engaged in innovative antimicrobial R&D: GSK in the UK, and Japan's Otsuka Pharmaceutical and Shionogi. Wockhardt has joined this small group.

THE ARITHMETIC

Strong clinical data has never guaranteed commercial success

in antibiotics. For Wockhardt, the history of the field offers both a warning and a benchmark.

American firm Achaogen spent 15 years and \$1 billion developing Zemdri for drug-resistant urinary tract infections, secured FDA approval, but filed for bankruptcy less than a year after the launch.

Several other antibiotic innovators have followed a similar trajectory. The pattern is consistent:

hospitals reserve newer antibiotics for the most severe infections, treatment durations are short, reimbursement negotiations protracted and hospital formulary decisions slow to move

"The company looks well prepared on the product side, but the next few years will be very important. As the products are launched at a larger scale, especially in the US, execution and following regula-